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US Semiconductors and Semiconductor Equipment

Summer Sell-off; Fundamentals Intact; Prefer Semi Caps to Semis

CITI'S TAKE

We view the SOX pullback on surging oil prices, rising bond yields, and AI spending concerns as a buying opportunity. Fundamentally, data center remains the strongest end market (34% of semi TAM) and is on track to exceed the entire semiconductor TAM by 2030E. Recovery is underway in Auto and Industrial (21%), while demand from PCs, handsets, and consumer electronics (42%) continues to weaken due to memory cost inflation and supply constraints (see Figure 2). We recap key highlights from earnings so far and note that consensus 2026E/2027E revenue estimates for companies that reported increased 4%/7% on average, while EPS estimates rose 7%/8%. We prefer semi caps to semis on higher estimate revisions driven by capex increases.

INTC/TSMC/TSLA Capex Outlook All Very Positive for SCE - Intel highlighted meaningful foundry progress and raised 2026 capex guidance to over \$20Bn from ~\$18Bn previously, driven primarily by tools with 40% YoY growth. Intel is aggressively locking in equipment orders, accelerating clean-room buildouts, and securing key substrate and memory supply. With increased confidence in customer demand across multiple end markets and a strong advanced packaging backlog, **Intel expects 2027 capex to be significantly higher than 2026**, with most investments directed toward U.S. manufacturing. TSMC, during its Q2 earnings call, raised 2026 capex again to \$60-64Bn from nearly \$56Bn, driven by stronger-than-expected AI demand and higher equipment costs. Given the large supply/demand gap, management commented that **capex over the next three years will be significantly higher than the prior three years** and announced an additional \$100Bn investment in Arizona (now \$265Bn total), including roughly four additional fabs. Tesla reiterated that 2026 capex will exceed \$25Bn and continue growing over the next 2-3 years, including semiconductor manufacturing investments. On Terafab, management disclosed that equipment orders have already been placed for its Austin development fab, and **Elon Musk indicated the company expects to announce a location and provide more detailed plans soon**. On the backend, **Amkor announced a \$1.5Bn multi-year partnership with NVIDIA to support U.S. advanced packaging capacity**, with NVIDIA providing a prepayment to support the expansion. Amkor previously outlined a \$7Bn Arizona investment plan, with Phase 1 construction underway, HVM beginning in 2028, and full buildout by 2030.

AMD Lifts CPU TAM - At AMD AI Day, the company raised its Data Center AI Accelerator TAM forecast from ~\$200B in 2025 to ~\$1.4T by 2030E (>45% CAGR) and its Data Center CPU TAM from ~\$26B to ~\$220B (>50% CAGR). AMD's CPU TAM lift is positive for INTC.

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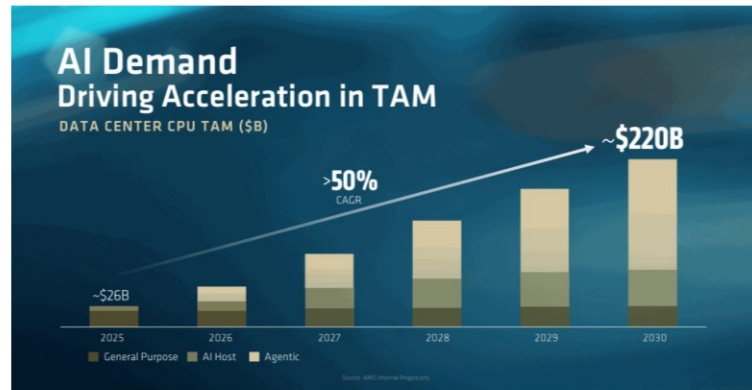
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Figure 1. AMD's Updated CPU TAM



Source: AMD

Google Capex Positive for Networking & Compute- With its Jun-Q results, GOOGL raised its outlook for FY26 capex by \$15Bn at the midpoint, as demand for capacity continues to accelerate and higher component pricing pushes up the company's technical infrastructure spend. Projected FY26 capex in the range of \$195-205Bn is more than 2x FY25 spend of \$91Bn and ahead of Citi's prior \$190Bn outlook. Importantly, GOOGL reiterated prior expectations for FY27 capex to "increase significantly." We note Jun-Q capex of ~\$45Bn, up 100% Y/Y was split 60%/ 40% between compute/ data centers and networking. We view GOOGL's capex outlook positively with regards to the broader hyperscale spending environment and specifically for CLS, AVGO, and NVDA in our coverage.

Analog Commentary: TXN and STM both reported a broad-based recovery with Industrial revenue up roughly 30% YoY, Automotive up mid-teens YoY, and Personal Electronics up high-single digits YoY. AI data center buildouts and new power architectures are emerging as incremental drivers of analog demand, with TXN's Data Center business expected to double YoY to \$3.1Bn in 2026 and STM raising its targets to \$1Bn in 2026 and \$2Bn in 2027, roughly double prior expectations. STM reported tightening supply conditions and lengthening lead times, while TXN leverages its manufacturing capacity to maintain industry-leading lead times. Both companies are implementing price increases, with TXN expecting stronger pricing through 2026. We see the read as positive for ADI, MCHP, NXPI, and ON.

Figure 2. Semiconductor End-Market Demand

End Market	% of Semi TAM	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25E	4Q25	1Q26	2Q26	3Q26E
PC	19%	stable	stable	stable	stable	stable	stable	stable	mixed	stable	stable	falling	falling	falling
Wireless	16%	weak	stable	stable	stable	stable	stable	stable	stable	stable	stable	falling	falling	falling
Industrial	10%	mixed	falling	falling	falling	mixed	weak	mixed	stable	improving	improving	improving	improving	improving
Consumer	7%	weak	weak	weak	stable	stable	mixed	stable	stable	improving	improving	falling	falling	falling
Comm Infra	3%	weak	weak	weak	weak	improving	improving	mixed	mixed	improving	improving	improving	improving	improving
Automotive	11%	mixed	falling	falling	falling	mixed	mixed	weak	weak	weak	mixed	mixed	improving	improving
Data Center	34%	mixed	mixed	improving	improving	improving	good	good	good	strong	strong	strong	strong	strong

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Source: Citi Research

Figure 3. C26 and C27 EPS Changes Post Earnings (Local Currency)

	2026 Consensus EPS			2027 Consensus EPS		
	Pre-earnings	Post-earnings	Delta	Pre-earnings	Post-earnings	Delta
STL/A-FAR	\$1.13	\$1.13	1%	\$2.32	\$2.33	1%
BES-NL	\$4.14	\$4.14	1%	\$8.43	\$8.44	0%
INTC	\$1.08	\$1.10	9%	\$1.82	\$1.97	8%
ASML	\$37.24	\$43.88	18%	\$54.40	\$63.87	18%
TXN	\$7.78	\$8.54	10%	\$9.10	\$10.01	13%
VACN-SWIX	\$10.33	\$10.63	3%	\$18.13	\$18.63	10%
Average			7%			8%
Median			6%			8%

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Source: Citi Research, FactSet

Figure 4. C26 and C27 Sales Changes Post Earnings (Local Currency)

	2026 Consensus Sales			2027 Consensus Sales		
	Pre-earnings	Post-earnings	Delta	Pre-earnings	Post-earnings	Delta
STL/A-FAR	\$12.88	\$12.88	0%	\$14.88	\$14.88	1%
BES-NL	\$888	\$888	1%	\$1,028	\$1,028	0%
INTC	\$84.487	\$91.44	9%	\$88.887	\$97.18	15%
ASML	\$48,778	\$48,878	9%	\$57,088	\$61,418	11%
TXN	\$21,128	\$21,388	4%	\$21,881	\$24,118	6%
VACN-SWIX	\$1,300	\$1,328	2%	\$1,888	\$1,928	8%
Average			4%			7%
Median			3%			7%

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Source: Citi Research, FactSet

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